FREE SELLER WORKSHEET · FILL IN ON SCREEN OR PRINT

Find your real earnings

TRANSWORLD® Business Advisors

Buyers do not pay for the profit on your tax return. They pay for **Seller's Discretionary Earnings (SDE)**: everything the business really puts in one owner's pocket.

What is an add-back?

An expense on your tax return that a new owner would not have to pay. You add it back to your profit to show what the business really earns.

Have your tax returns next to you

Use your last two business tax returns. A buyer pays only for what is provable, so every number here should match a return or a record.

TYPE IN THE BOXES, OR PRINT AND WRITE		LAST YEAR	YEAR BEFORE
START WITH YOUR PROFIT			
1	**Ordinary business income (net profit)** From your business tax return. Schedule C calls it net profit.		
THEN ADD BACK (+) WHAT A NEW OWNER WOULD NOT PAY			
2	**Owner's salary and payroll taxes** Wages paid to one working owner, plus payroll taxes.	+	
3	**Owner's benefits** Your health insurance and retirement plan.	+	
4	**Personal expenses paid by the business** Your own car, phone, travel and meals.	+	
5	**Interest** Interest paid on business loans.	+	
6	**Depreciation and amortization** Paper expenses that did not cost cash this year.	+	
7	**One-time expenses** Costs that will not repeat, like a renovation or a move.	+	
Your SDE Adds up by itself on screen. On paper, add lines 1 to 7.		=	

Only provable add-backs count

Buyers and their banks count what you can document. Keep the statements, invoices and payroll records behind lines 2 through 7. If you cannot prove it, leave it out.

What your number means

Businesses usually sell for a multiple of SDE that depends on the industry. Bring this sheet and your tax returns to your broker and we will show you the multiple for yours.

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For planning only. Not tax, legal or accounting advice.